WHAT'S DONE

- $419 billion merchandise exports recorded, up 33% from pre-Covid levels
- $254 billion services exports in a Covid year
- Two major FTAs signed with UAE and Australia
- Huge outreach to states to boost their exports
- Process simplification and ease of doing exports

CHALLENGES AHEAD

- Integrate India into the world economy and focus on getting into global value chains
- Capitalise on the big shift away from relying on China
- Move from protectionism to competitiveness
- Brand India globally
- Create a separate Indian trade promotion authority

dynamic B.V.R. Subrahmanyam, then the chief secretary of Jammu and Kashmir, as commerce secretary. Subrahmanyam had successfully executed the government's decision to abrogate Article 370 and make J&K a Union Territory. Goyal entrusted him with the task to turn around India's exports. After much discussion within the ministry and in consultation with exporters, Goyal and Subrahmanyam homed in on a target of $400 billion. The tech-savvy Goyal loves to create dashboards and track the progress of all major activities, something he did when he was the railways minister where he personally monitored train delays. Subrahmanyam broke up the targets and disaggregated them to regions and countries, products and commodity groups and export promotion councils. He then focused on both existing and new markets and products, including looking to regain lost market shares and sourcing from new areas.

Prime Minister Modi involved all the key stakeholders in August 2021, addressing some 200 Indian missions abroad, 38 export promotion councils and key government departments, both at the Centre and in the states. He signalled that export would be a top priority for his government, which galvanised the sector. The commerce ministry then drew up exports targets for all missions, export councils and states. Daily, weekly and monthly follow-ups were done to ensure there was no slippage. The paperwork for exporters was reduced or simplified to expedite processing and tax concessions made wherever possible. The finance ministry played its part by clearing export arrears of over Rs 55,000 crore and approving an interest equalisation scheme. These actions boosted cash flow and energised exporters. The result? The impossible was made possible. The target of $400 billion was more than achieved.

What came as a downer though was that imports had ballooned because of the higher global prices of petroleum, coal, cooking oil, gold and electronic goods. Petroleum prices, for instance, went up by as much as 94 per cent. So, the overall trade deficit widened to $192 billion in FY22. It would have been higher, but for the phenomenal growth of exports. The challenge for FY23 is to boost exports even further by concentrating on developing new markets and signing new trade deals, similar to the ones inked with the UAE and Australia recently. The commerce ministry is now negotiating with the UK, Canada, Europe and the US and hopes that they will fructify in the current financial year. Goyal is confident of significantly raising the FY23 target and is pushing for merchandise exports to touch $1 trillion by 2030. That's a tall order but, as Subrahmanyam says, "We are bullish about accomplishing it." ■

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